

5250 North 20th Street, Phoenix AZA wide-angle photograph of the exterior of 'The Hibiscus' building. The building is a modern, multi-story structure with a light-colored facade and large windows. In the foreground, there is a paved walkway leading towards the building. To the left of the walkway is a large, circular landscaped area featuring a multi-tiered fountain surrounded by greenery and small plants. To the right of the walkway is a white wall with the text 'The Hibiscus' and '1000 N. 10th Street' below it. The grounds are well-maintained with green lawns, various trees, and shrubs. The sky is clear and blue.

In-Place Operations		Sources & Uses		Returns		Loan Assumptions	
Effective Gross Income	\$306,008	Purchase Price	\$2,775,000	Sale Price	\$4,871,361	Loan Type	Bridge - I/O
Operating Expenses	(\$150,300)	Closing Costs	\$83,250	Exit Price/Unit	\$131,658	Amount	\$1,942,500
Expense Ratio	49%	Renovation Costs	\$740,000	Selling Costs	(\$146,141)	Interest Reserve	\$296,595
NOI	\$155,708	Loan Closing Costs	\$58,275	Net Sale Proceeds	\$4,725,220	Total Loan	\$2,239,095
Going-in Cap Rate	5.6%	Capitalized Interest	\$296,595	All-in Basis/Unit	\$106,841	LTC	57%
Stabilized Pro Forma		Total Uses	\$3,953,120	Development Spread	151 bps	Initial LTV	70%
Effective Gross Income	\$562,777	Loan	\$1,942,500	Unlevered IRR	17%	Exit LTV	46%
Operating Expenses	(\$246,139)	Interest Reserve	\$296,595	Unlevered Equity Multiple	1.58x	Term	3 Years
Expense Ratio	44%	Operating Cash Flow Retained	\$360,676	Levered IRR	25%	Rate	9%
NOI	\$316,638	Equity	\$1,353,349	Levered Equity Multiple	1.92x	Stabilized DSCR	1.57
Yield on Cost	8.0%	Total Sources	\$3,953,120	Equity Requirement	\$1,353,349	Stabilized Debt Yield	14%

The Hibiscus is a 37-unit, 1960-vintage garden apartment community in Phoenix's Biltmore area, where limited construction activity reduces direct competition from new supply. All units reportedly remain in classic condition, supporting a meaningful \$20,000-per-unit interior and exterior renovation program. Direct rent comps support average stabilized rent of approximately \$1,356 without relying on aggressive assumptions.

Selected sale comps range from approximately \$130,000 to \$200,000 per unit but vary in condition and operating performance. A \$2.775 million purchase price reflects the property's low in-place NOI, capital needs and lease-up risk while limiting the all-in basis to approximately \$106,800 per unit.

A purchase price of \$2.775 million or lower represents the preferred basis. A higher price would require stronger support for achievable rents, lower renovation costs or a faster renovation schedule. Final pricing remains subject to verification of the rent roll, operating statements, contractor bids and deferred maintenance.

Unit Mix								
% of Units	Type	# of Units	Unit SF	Total SF	In-Place Rent	\$/SF	Stabilized Rent	\$/SF
30%	1X1	11	640	7,040	\$630	\$0.98	\$1,162	\$1.82
65%	2X2	24	1,200	28,800	\$750	\$0.63	\$1,405	\$1.17
5%	3X2	2	1,400	2,800	\$1,200	\$0.86	\$1,830	\$1.31
100%		37	1,044	38,640	\$739	\$0.71	\$1,356	\$1.30

Comments:	In-place rents estimated based on stated in-place NOI while applying a roughly 50% operating expense ratio.
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The Hibiscus – Value-Add Multifamily

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<i>In-Place Operations</i>	Annual	Per Unit	Per SF	% of EGI
Income				
Rental Income	\$327,960	\$8,864	\$8.49	107%
Less Vacancy	\$26,893	\$727	\$0.70	9%
Less Concessions/Bad Debt	\$6,559	\$177	\$0.17	2%
Other Income	\$11,500	\$311	\$0.30	4%
Effective Gross Income	\$306,008	\$8,270	\$7.92	100%
Operating Expenses				
Real Estate Taxes	\$35,000	\$946	\$0.91	11%
Property Insurance	\$18,000	\$486	\$0.47	6%
Utilities	\$23,000	\$622	\$0.60	8%
Repairs & Maintenance	\$25,000	\$676	\$0.65	8%
Janitorial	\$3,000	\$81	\$0.08	1%
Management Fees	\$15,300	\$414	\$0.40	5%
Payroll & Benefits	\$15,000	\$405	\$0.39	5%
Advertising & Marketing	\$2,500	\$68	\$0.06	1%
Professional Fees	\$3,000	\$81	\$0.08	1%
General & Administrative	\$5,500	\$149	\$0.14	2%
Other Expenses	\$5,000	\$135	\$0.13	2%
Total Operating Expenses	\$150,300	\$4,062	\$3.89	49%
Net Operating Income	\$155,708	\$4,208	\$4.03	51%
CapEx	\$9,250	\$250	\$0.24	3%
Free Cash Flow	\$146,458	\$3,958	\$3.79	48%

Comments: In-place income statement estimated based on marketed \$156,000 NOI. Expenses estimated using average per unit costs in the market, and total expenses set to a conservative 50% operating expense ratio.

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<i>Stabilized Pro Forma</i>	Annual	Per Unit	Per SF	% of EGI
Income				
Rental Income	\$601,867	\$16,267	\$15.58	107%
Less Vacancy	\$32,533	\$879	\$0.84	6%
Less Concessions/Bad Debt	\$18,056	\$488	\$0.47	3%
Other Income	\$11,500	\$311	\$0.30	2%
Effective Gross Income	\$562,777	\$15,210	\$14.56	100%
Operating Expenses				
Real Estate Taxes	\$38,000	\$1,027	\$0.98	7%
Property Insurance	\$30,000	\$811	\$0.78	5%
Utilities	\$40,000	\$1,081	\$1.04	7%
Repairs & Maintenance	\$40,000	\$1,081	\$1.04	7%
Janitorial	\$5,000	\$135	\$0.13	1%
Management Fees	\$28,139	\$761	\$0.73	5%
Payroll & Benefits	\$32,000	\$865	\$0.83	6%
Advertising & Marketing	\$5,000	\$135	\$0.13	1%
Professional Fees	\$6,000	\$162	\$0.16	1%
General & Administrative	\$12,000	\$324	\$0.31	2%
Other Expenses	\$10,000	\$270	\$0.26	2%
Total Operating Expenses	\$246,139	\$6,652	\$6.37	44%
Net Operating Income	\$316,638	\$8,558	\$8.19	56%
CapEx	\$9,250	\$250	\$0.24	2%
Free Cash Flow	\$307,388	\$8,308	\$7.96	55%
Financing Costs	\$201,519	\$5,446	\$5.22	36%
Cash Flow after Debt Service	\$105,870	\$2,861	\$2.74	19%
DSCR	1.57			
Value at Cap Rate of:	\$4,871,361	\$131,658	\$126.07	
6.5%				

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Renovation	Cost	Per Unit	% of Budget
Kitchen refreshes	\$185,000	\$5,000	25%
Bathroom refreshes	\$110,000	\$2,973	15%
Flooring	\$78,000	\$2,108	11%
Full interior paint	\$52,000	\$1,405	7%
Lighting, electrical, hardware and blinds	\$42,000	\$1,135	6%
Doors, trim, drywall and unit punch	\$25,000	\$676	3%
Total Unit Interiors	\$492,000	\$13,297	66%
Common laundry upgrade	\$20,000	\$541	3%
Pool-area refresh	\$15,000	\$405	2%
Exterior paint/stucco allowance	\$50,000	\$1,351	7%
Landscaping/curb appeal	\$15,000	\$405	2%
Patio/balcony refresh	\$10,000	\$270	1%
Asphalt/striping	\$18,000	\$486	2%
Carport repairs/refresh	\$15,000	\$405	2%
Exterior lighting/signage	\$15,000	\$405	2%
Deferred-maintenance reserve	\$35,000	\$946	5%
GC/contingency	\$55,000	\$1,486	7%
Total Exterior Improvements	\$248,000	\$6,703	34%
Total Renovation Costs	\$740,000	\$20,000	100%

Comments: The \$20,000-per-unit budget supports a moderate value-add strategy focused on selective interior upgrades, targeted exterior improvements and deferred maintenance rather than heavy renovations.

The property's larger units and Biltmore location may also support in-unit laundry, particularly in two- and three-bedroom units, subject to plumbing, electrical and venting feasibility.

Renovation Timeline						
Period	Units Renovated	Cumulative Units	\$ Amount	Cumulative % Interior	Exterior Upgrades	Cumulative % Exterior
Months 1-3	4	4	\$53,189	11%	\$110,000	44%
Months 4-6	6	10	\$79,784	27%	\$138,000	100%
Months 7-12	10	20	\$132,973	54%		
Months 13-18	10	30	\$132,973	81%		
Months 19-24	7	37	\$93,081	100%		

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Cash Flow Projections		Year 0	Year 1	Year 2	Year 3
Analysis Start Date 1/1/2027	Units renovated by month		20	17	0
	Cumulative Renovated Units		20	37	37
Renovation Timeline (Months) 24	Renovated Units Online		20	37	37
	Unrenovated Units Online		17	0	0
Sale Date 1/1/2030					
	Gross Rental Income		\$ 377,962	\$ 525,768	\$ 601,867
	Other Income		\$ 11,500	\$ 11,500	\$ 11,500
	Stabilized Vacancy		\$ (27,015)	\$ (30,195)	\$ (32,533)
	Concessions/Bad Debt		\$ (8,983)	\$ (15,138)	\$ (18,056)
	Effective Gross Income		\$ 353,464	\$ 491,935	\$ 562,777
	Operating Expenses		\$ (166,195)	\$ (218,151)	\$ (246,139)
	Net Operating Income		\$ 187,270	\$ 273,784	\$ 316,638
	Capex		\$ (9,250)	\$ (9,250)	\$ (9,250)
	Free Cash Flow		\$ 178,020	\$ 264,534	\$ 307,388
	Purchase Price + Closing Costs	\$ (2,858,250)			
	Renovations				
	Interior Renovations		\$ (265,946)	\$ (226,054)	
	Exterior Renovations		\$ (248,000)		
	Reversion Value				\$ 4,725,220
Unlevered Cash Flow		\$ (2,858,250)	\$ (335,926)	\$ 38,480	\$ 5,032,609
	IRR	17%			
	Equity Multiple	1.58x			
	Amount				
Senior Loan	\$ 1,942,500	\$ 1,942,500	\$ -	\$ -	\$ -
Loan Closing Costs	\$ 58,275	\$ -	\$ -	\$ -	\$ -
Equity Draw	\$ 1,353,349	\$ 974,025	\$ 342,878	\$ 36,447	\$ -
Financing Cost	Loan Balance	\$ 1,942,500	\$ 2,101,855	\$ 2,233,971	\$ 2,239,095
	Interest Expense	\$ -	\$ 182,070	\$ 196,402	\$ 201,519
	Interest Reserve Draw	\$ -	\$ 175,119	\$ 121,476	\$ -
Levered Cash Flow		\$ (974,025)	\$ (342,878)	\$ (36,447)	\$ 2,591,996
	IRR	25%			
	Equity Multiple	1.92x			

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Sensitivity Analysis

Purchase Price	IRR	EMx	Levered IRR	Levered EMx
	17%	1.58x	25%	1.92x
\$ 2,000,000	29%	2.1x	77%	4.67x
\$ 2,250,000	25%	1.9x	52%	3.19x
\$ 2,500,000	21%	1.73x	37%	2.42x
\$ 2,775,000	17%	1.58x	25%	1.92x
\$ 3,000,000	14%	1.47x	19%	1.64x
\$ 3,250,000	12%	1.37x	13%	1.41x
\$ 3,500,000	9%	1.28x	8%	1.23x

Exit Cap Rate	IRR	EMx	Levered IRR	Levered EMx
	17%	1.58x	25%	1.92x
5.0%	27%	2.02x	46%	2.96x
5.5%	23%	1.85x	39%	2.55x
6.0%	20%	1.7x	32%	2.21x
6.5%	17%	1.58x	25%	1.92x
7.0%	14%	1.48x	20%	1.67x
7.5%	12%	1.39x	14%	1.45x
8.0%	10%	1.31x	8%	1.26x

Renovated Rents	IRR	EMx	Levered IRR	Levered EMx
	17%	1.58x	25%	1.92x
\$1,100	0%	.99x	-21%	.51x
\$1,200	7%	1.22x	2%	1.05x
\$1,300	14%	1.45x	18%	1.6x
\$1,400	20%	1.68x	31%	2.17x
\$1,500	25%	1.92x	42%	2.75x
\$1,600	30%	2.16x	52%	3.35x
\$1,700	35%	2.4x	61%	3.95x

Renovation Costs	IRR	EMx	Levered IRR	Levered EMx
	17%	1.58x	25%	1.92x
40%	22%	1.79x	39%	2.62x
60%	21%	1.72x	34%	2.37x
80%	19%	1.65x	30%	2.13x
100%	17%	1.58x	25%	1.92x
120%	15%	1.51x	22%	1.74x
140%	14%	1.45x	18%	1.58x
160%	12%	1.4x	15%	1.45x

Unlevered IRR	Avg Rents vs Renovation Costs			
17%	\$1,200	\$1,400	\$1,600	\$1,800
40%	12%	25%	36%	46%
60%	10%	23%	34%	44%
80%	9%	21%	32%	42%
100%	7%	20%	30%	40%
120%	5%	18%	29%	38%
140%	4%	16%	27%	36%
160%	2%	15%	26%	35%

Unlevered IRR	Renovated Rents vs Exit Cap			
17%	5.5%	6.0%	6.5%	7.0%
\$1,100	5%	2%	0%	-3%
\$1,200	13%	10%	7%	5%
\$1,300	20%	17%	14%	11%
\$1,400	26%	23%	20%	17%
\$1,500	32%	28%	25%	22%
\$1,600	37%	34%	30%	28%
\$1,700	43%	39%	35%	32%

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Rent Comps-Post Renovation							
Address	6315 N 16th St	1 Bed		1 Bed SF		\$/SF	
Submarket	North Phoenix	2 Bed	\$1,833	2 Bed SF	841	\$/SF	\$2.18
Year Built	1969/2024	3 Bed	\$2,089	3 Bed SF	1,026	\$/SF	\$2.04
Class	B	Avg.	\$1,961	Avg. SF	934	\$/SF	\$2.10
Address	6201 N 16th St	1 Bed	\$965	1 Bed SF	672	\$/SF	\$1.44
Submarket	North Phoenix	2 Bed	\$1,115	2 Bed SF	952	\$/SF	\$1.17
Year Built	1971/2022	3 Bed		3 Bed SF		\$/SF	
Class	C	Avg.	\$1,040	Avg. SF	812	\$/SF	\$1.28
Address	6702 N 17th Ave	1 Bed	\$768	1 Bed SF	600	\$/SF	\$1.28
Submarket	North Phoenix	2 Bed	\$995	2 Bed SF	875	\$/SF	\$1.14
Year Built	1979/2022	3 Bed		3 Bed SF		\$/SF	
Class	C	Avg.	\$882	Avg. SF	738	\$/SF	\$1.20
Address	4811-4815 N 15th Ave	1 Bed	\$799	1 Bed SF	512	\$/SF	\$1.56
Submarket	Midtown	2 Bed	\$1,090	2 Bed SF	887	\$/SF	\$1.23
Year Built	1958/2023	3 Bed		3 Bed SF		\$/SF	
Class	C	Avg.	\$945	Avg. SF	700	\$/SF	\$1.35
Address	4150 N 25th St	1 Bed	\$1,466	1 Bed SF	510	\$/SF	\$2.87
Submarket	Biltmore	2 Bed	\$1,857	2 Bed SF	725	\$/SF	\$2.56
Year Built	1957/2021	3 Bed		3 Bed SF		\$/SF	
Class	C	Avg.	\$1,662	Avg. SF	618	\$/SF	\$2.69
Address	2242-2302 E Pinchot Ave	1 Bed	\$1,227	1 Bed SF	755	\$/SF	\$1.63
Submarket	Biltmore	2 Bed	\$1,054	2 Bed SF	813	\$/SF	\$1.30
Year Built	1967/2021	3 Bed	\$1,397	3 Bed SF	1,058	\$/SF	\$1.32
Class	C	Avg.	\$1,226	Avg. SF	875	\$/SF	\$1.40
Address	2512 E Thomas Rd	1 Bed	\$1,339	1 Bed SF	600	\$/SF	\$2.23
Submarket	Biltmore	2 Bed	\$1,521	2 Bed SF	810	\$/SF	\$1.88
Year Built	1945/2021	3 Bed		3 Bed SF		\$/SF	
Class	B	Avg.	\$1,430	Avg. SF	705	\$/SF	\$2.03
Address	6725 E Earll Dr	1 Bed	\$1,425	1 Bed SF	550	\$/SF	\$2.59
Submarket	Old Town	2 Bed	\$1,611	2 Bed SF	769	\$/SF	\$2.09
Year Built	1958/2023	3 Bed		3 Bed SF		\$/SF	
Class	C	Avg.	\$1,518	Avg. SF	660	\$/SF	\$2.30
Address	7102 E Oak St	1 Bed	\$1,420	1 Bed SF	650	\$/SF	\$2.18
Submarket	South Scottsdale	2 Bed	\$1,650	2 Bed SF	800	\$/SF	\$2.06
Year Built	1960/2020	3 Bed		3 Bed SF		\$/SF	
Class	C	Avg.	\$1,535	Avg. SF	725	\$/SF	\$2.12
Address	2019-2025 E Turney Ave	1 Bed	\$1,053	1 Bed SF	624	\$/SF	\$1.69
Submarket	Biltmore	2 Bed	\$1,319	2 Bed SF	729	\$/SF	\$1.81
Year Built	1960	3 Bed	\$2,005	3 Bed SF	950	\$/SF	\$2.11
Class	B	Avg.	\$1,459	Avg. SF	768	\$/SF	\$1.90
		Avg. 1 Bed	\$1,162			Avg. 1 Bed	\$1.94
		Avg. 2 Bed	\$1,405			Avg. 2 Bed	\$1.74
		Avg. 3 Bed	\$1,830			Avg. 3 Bed	\$1.82
		Avg. Total	\$1,366			Avg. Total	\$1.84

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Acquisition Comps				Exit Sale Comps			
Address	4200 N 27th St	SF	22,100	Address	4231-4237 N 27th St	SF	16,150
Submarket	Biltmore	Sale Price	\$4,750,000	Submarket	Biltmore	Sale Price	\$4,700,000
Sale Date	June 2026	Price/Unit	\$237,500	Sale Date	November 2025	Price/Unit	\$235,000
Year Built	1962	Price/SF	\$214.93	Year Built	1970/2017	Price/SF	\$291.02
No. Units	20	Cap Rate	5.00%	No. Units	20	Cap Rate	
Address	4917 E Holly St	SF	19,328	Address	2402 W Devonshire	SF	29,610
Submarket	Papago	Sale Price	\$4,110,000	Submarket	Midtown	Sale Price	\$6,030,000
Sale Date	July 2025	Price/Unit	\$186,818	Sale Date	December 2025	Price/Unit	\$182,727
Year Built	1963	Price/SF	\$212.64	Year Built	1963/2019	Price/SF	\$203.65
No. Units	22	Cap Rate		No. Units	33	Cap Rate	6.1%
Address	7325 E Belleview St	SF	15,740	Address	31 W 2nd St	SF	15,672
Submarket	South Scottsdale	Sale Price	\$5,620,000	Submarket	Downtown Mesa	Sale Price	\$3,450,000
Sale Date	July 2026	Price/Unit	\$281,000	Sale Date	January 2026	Price/Unit	\$172,500
Year Built	1969	Price/SF	\$357.05	Year Built	1960/2015	Price/SF	\$220.14
No. Units	20	Cap Rate	5.75%	No. Units	20	Cap Rate	5.9%
Address	25 E Eva St	SF	15,328	Address	3710 E McDowell Rd	SF	27,815
Submarket	North Mountain	Sale Price	\$2,830,000	Submarket	Papago	Sale Price	\$6,630,000
Sale Date	March 2026	Price/Unit	\$128,636	Sale Date	January 2026	Price/Unit	\$132,600
Year Built	1960	Price/SF	\$184.63	Year Built	1979/2020	Price/SF	\$238.36
No. Units	22	Cap Rate		No. Units	50	Cap Rate	6.5%
Address	6730 N 17th Ave	SF	17,030	Address	2101 W Colter St	SF	30,673
Submarket	North Phoenix	Sale Price	\$3,530,000	Submarket	Midtown	Sale Price	\$4,750,000
Sale Date	October 2025	Price/Unit	\$168,095	Sale Date	July 2025	Price/Unit	\$182,692
Year Built	1969	Price/SF	\$207.28	Year Built	1983/2018	Price/SF	\$154.86
No. Units	21	Cap Rate		No. Units	26	Cap Rate	5%
Address	5407 W Glenrosa Ave	SF	33,840	Address	2339 W Northern Ave	SF	43,174
Submarket	Maryvale	Sale Price	\$4,500,000	Submarket	North Phoenix	Sale Price	\$8,860,000
Sale Date	October 2025	Price/Unit	\$125,000	Sale Date	May 2025	Price/Unit	\$173,725
Year Built	1963	Price/SF	\$132.98	Year Built	1964/2021	Price/SF	\$205.22
No. Units	36	Cap Rate	5.4%	No. Units	51	Cap Rate	5.5%
Address	1806 E Concorda Dr	SF	46,376	Address	3025 N 32nd St	SF	28,741
Submarket	Alameda	Sale Price	\$7,400,000	Submarket	East Phoenix	Sale Price	\$8,250,000
Sale Date	January 2026	Price/Unit	\$168,182	Sale Date	May 2025	Price/Unit	\$133,065
Year Built	1963	Price/SF	\$159.57	Year Built	1968/2015	Price/SF	\$287.05
No. Units	44	Cap Rate		No. Units	62	Cap Rate	6.1%
Address	2011 N 51st St	SF	14,960	Address	6315 N 16th St	SF	72,326
Submarket	Papago	Sale Price	\$4,750,000	Submarket	North Phoenix	Sale Price	\$19,500,000
Sale Date	June 2026	Price/Unit	\$237,500	Sale Date	March 2026	Price/Unit	\$226,744
Year Built	1979	Price/SF	\$317.51	Year Built	1969/2024	Price/SF	\$269.61
No. Units	20	Cap Rate	7.9%	No. Units	86	Cap Rate	
Address	302 E Monte Vista	SF	33,800	Implied Property Value		Summary	
Submarket	Encanto	Sale Price	\$11,500,000	Med Price/Unit	\$6,593,729	Med Price/Unit	\$178,209
Sale Date	March 2026	Price/Unit	\$191,667	Avg Price/Unit	\$6,655,624	Avg Price/Unit	\$179,882
Year Built	1972	Price/SF	\$340.24	Med Price/SF	\$8,858,190	Med Price/SF	\$229.25
No. Units	60	Cap Rate	6.7%	Avg Price/SF	\$9,031,626	Avg Price/SF	\$233.74
Address	820-1860 E Hayden Ln	SF	47,356	Med Cap Rate	\$5,277,308	Med Cap Rate	6.0%
Submarket	Apache	Sale Price	\$10,400,000	Avg Cap Rate	\$5,412,623	Avg Cap Rate	5.9%
Sale Date	November 2025	Price/Unit	\$185,714				
Year Built	1981	Price/SF	\$219.61				
No. Units	56	Cap Rate					
Implied Property Value		Summary					
Med Price/Unit	\$6,891,851	Median Price/Unit	\$186,266				
Avg Price/Unit	\$7,067,416	Avg Price/Unit	\$191,011				
Med Price/SF	\$8,260,788	Median Price/SF	\$213.79				
Avg Price/SF	\$9,066,671	Avg Price/SF	\$234.64				
Med Cap Rate	\$2,707,960	Median Cap Rate	5.8%				
Avg Cap Rate	\$2,531,832	Avg. Cap Rate	6.2%				